

EG Daily Brief: Iran is unlikely to back down, says Ian Bremmer

送信者: EG Daily Brief 受信日時: 2026-07-20 21:44

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20 Jul 2026 08:37 EDT

Daily Brief: Iran is unlikely to back down, says Ian Bremmer

Ian Bremmer on Iran | US-China ties | US Democrats shift | Venezuela-US ties | Upcoming conference calls | EG in depth

summary

- * Iranian leaders are unlikely to back down from pursuing long-term leverage over the Strait of Hormuz, even as the conflict escalates, says Ian Bremmer.
- * The US letting its 2020 Hong Kong executive order expire is important for US-China de-escalation, but core restrictions on trade, sanctions, and export controls remain largely intact.
- * Progressive Democrats are surging in primaries, signaling a lasting leftward shift that will shape party policy and the 2028 presidential race.
- * US acknowledgment that Venezuela earthquakes underscore the need for responsible leadership marks a shift from its endorsement of acting President Delcy Rodriguez.
- * Regions, countries, and sectors covered include the US, Brazil, China, Colombia, Ecuador, Hong Kong, Iran, Mexico, Venezuela, and trade.

the top line

Ian Bremmer on Iran

The Americans and the Iranians announced a deal in Switzerland last month... acceptance of a 60-day ceasefire and free passage through the Strait of Hormuz... fundamental disagreements continued over control over the strait... when the Americans pressed their understanding. The Iranians pressed their own very different understanding, by attacking those ships and disrupting the strait once more. President Donald Trump breached the memorandum—announcing a US blockade on Iranian ports with continued targeted strikes against Iranian military and some infrastructure targets. Iran hit back... striking US military bases and equivalent infrastructure across the Gulf, killing three US servicemen in the process. The Iranians are unlikely to back down... looking for long-term leverage over the strait... the costs of American escalation absent a return to full-blown war are manageable for the Iranian leaders. They still presume (I believe correctly) that Trump is reluctant to take that step.

For more of Ian's insights on the Iran war, options in a G-zero world, and perspective on the US midterms, read the EG Update .

Hong Kong, US, China—Core US restrictions will largely remain despite Hong Kong status reversal

- * The US decision not to renew Trump's 2020 executive order (EO) that eliminated Hong Kong's preferential treatment relative to Mainland China is symbolically important for stabilizing US-China ties.
- * The EO's expiration, alongside China's Ministry of Commerce's rare expression of "praise" for the Trump administration, points to a willingness by the White House to pursue limited de-escalation on the Hong Kong issue.
- * The EO's expiration does not reverse most core policy effects. The EO led to a series of agency-level measures treating Hong Kong the same as Mainland China across areas such as immigration, export controls, and extradition agreements. These measures remain in place and are not automatically rescinded.
- * Any rollback will likely be limited and highly targeted, depending on negotiations with Beijing. Statutory sanctions are expected to remain in place given bipartisan support in Congress for Hong Kong-related human rights measures.
- * Read more here . Reach out to discuss: china@eurasiagroup.net .

US—Democrats' Tea Party moment will drag the party left

- * Progressives are on the upswing in the Democratic Party after defeating moderate incumbents in a series of primary contests, reflecting an emerging generational shift in the party's center of gravity.
- * The Democratic Socialist wave is both larger and probably more durable than a similar surge in 2018, and it will likely drive Democrats to the left on a number of policy issues—such as Israel, AI, and tax policy—over the next two years.
- * An emboldened far-left wing will be a force to contend with in the party, making life more difficult for Representative Hakeem Jeffries (D-NY), the presumptive next House speaker if Democrats flip the chamber, and likely pulling many 2028 presidential candidates leftward during the primaries.
- * Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Venezuela—US signals stronger support for democratic transition

- * The US State Department on 16 July welcomed the agreement between the 2015 National Assembly and the interim government to launch formal talks on 1 August, a recognition by the Trump administration that the earthquake is generating demand for change.
- * The US acknowledged that the earthquakes have underscored the urgency of responsible leadership and institutions, marking a shift from what has otherwise been a continued endorsement of Rodriguez.
- * The devil will be in the details, and the dialogue's exclusion of opposition leader Maria Corina Machado and figures close to her is already generating divisions within the opposition. Rodriguez conditioned her

engagement with Machado on a full lifting of US sanctions, and stressed the importance of regaining access to international markets.

* This suggests that her administration will likely engage with creditors on a delayed restructuring process soon (see note : 1 July 2026).

* Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

Upcoming conference calls

* 20 July 10:00 AM ET—Brazil update: a conversation with Daniella Marques, advisor for Flavio Bolsonaro. Register here .

* 21 July 9:00 PM ET—Claude Mythos: cyber power, competition & global risk. Register here .

* 23 July 10:00 AM ET—Latin America update. Register here .

eg in depth

Ecuador—Electricity shortages will be Noboa's biggest political vulnerability. The failure of President Daniel Noboa's administration to address the country's electricity deficit will be a significant electoral weakness amid a meaningful risk of blackouts later this year. Renewed blackouts would weigh on Noboa's approval ratings and accentuate his populist policy inclinations ahead of November's regional and local elections, though a recent oil windfall will help to cushion any fallout. The ruling party lacks strong contenders in most high-profile races but will likely expand its local footprint and seek informal alliances with competitive candidates to undermine the electoral chances of former president Rafael Correa's movement. Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

Brazil—Near term retaliation against US tariffs unlikely. Following the United States Trade Representative's Section 301 investigation into Brazilian trade practices, the US imposed a 25% tariff on Brazilian goods. Brazilian officials have responded with public threats to invoke the country's reciprocity law, but implementation faces a long path. The reciprocity law process includes mandatory deliberation across multiple government bodies, public hearings with the private sector, and possible extension periods, which means that enacting any retaliatory measure could take up to nine months. That timeline pushes meaningful action well past the electoral cycle, during which bilateral friction will likely peak. The range of potential retaliatory tools, from tariffs to breaking intellectual property patents held by US firms, faces opposition from most of the Brazilian private sector, which has little appetite for measures that could trigger further economic disruption or jeopardize commercial ties with the US. Read more here . Reach out to discuss: brazil@eurasiagroup.net .

Colombia—Colombia's incoming, right-leaning congress will likely support De la Espriella. The new congress elected in the March legislative elections will take office on 20 July, before the inauguration of right-wing president-elect Abelardo De la Espriella on 7 August. The legislature will remain fragmented, lean right, and likely support De la Espriella. Right-wing and centrist lawmakers will probably support De la Espriella's agenda, including measures to boost investment, strengthen security, and advance fiscal

adjustment. However, that support will likely vary by issue and depend on concessions and negotiations, as is typical in Colombia. Tensions will probably grow as De la Espriella will likely favor close allies over party-backed figures for key posts, while he needs congressional support for potentially unpopular measures. Tensions have already emerged between the incoming administration and the Democratic Center Party during negotiations over congressional leadership. Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

Upcoming events:

- * 21 July: Events: ASEAN foreign ministers' meeting, through July 24; Central bank decisions: Hungary and Nigeria.
- * 22 July: Events: Alphabet and Tesla earnings; Data: Japan trade and Russia industrial production; Central bank decision: Indonesia.
- * 23 July: Events: Intel earnings; Data: Eurozone consumer confidence, South Korea GDP, and Taiwan industrial production; Central bank decisions: ECB, South Africa, and Turkey.
- * 24 July: Events: The temporary 10% US global tariff is set to expire; Data: Eurozone, Japan, UK, and US S&P and India HSBC manufacturing PMI; Central bank decision: Russia.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Marilia Sirio, Joseph Craven, Martina Silva, and Trista Kelley, with help from Marina Tavares, and Astral Betteridge.

closing quip

Not a single drop of oil, gas, or chemical fertilizer will pass through the Strait of Hormuz without coordination and permission.”—the Iranian Revolutionary Guards Corp Navy said in a statement on 19 July.

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Positive: Political factors in the country are anticipated to have a positive impact on the macro business environment

Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

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